

Gillette India Ltd. (GILLETTE)

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Call: Sep 2023

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September 22, 2023

To, To,
The Corporate Relations Department The Listing Department
The BSE Limited The National Stock Exchange of India Limited
Department of Corporate Services Exchange Plaza, Plot No. C/1, G Block,
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Dalal Street, Mumbai – 400001 Mumbai – 400051
Ref:- Scrip Code:- 507815 Ref:- Scrip Code:- GILLETTE

Dear Sir / Madam,

Sub: Analysts/Institutional Investors – outcome – transcript

This has reference to the intimation dated September 05, 2023 with respect to the virtual connect with analysts/ institutional investors held today, Friday, September 22, 2023 at 11:00 a.m. (IST).

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, enclosed herewith is the transcript of the meeting with analysts/ institutional investors.

This is for your record and appropriate dissemination.

Thanking you.

Yours faithfully,

For Gillette India Limited

Flavia Machado
Company Secretary

Gillette India Limited
Investor s & Analyst s Call
Friday , September 22, 2023
Start time: a t 11:00 a.m.
Speakers:
Mr. L. V. Vaidyanathan, Managing Director
Mr. Gautam Kamath- Chief Financial Officer
M
s. Flavia Machado, Moderator – Company Secretary

■ Flavia Machado , Company Secretary :

Good morning, everyone, and welcome to the Company's Investors and Analysts Call.

Thank you for joining us today.

Today we will begin with presentation by the management of the company on the company's performance, results, strategies and business outlook.

We have received questions submitted by the participants at the time of registration of the call.

The management will address the questions received after the presentation.

Let me introduce our presenters for today.

We have on the call, Mr . L. V. Vaidyanathan , Managing Director of the Company and Mr . Gautam

Kamath, Chief Financial Officer.

All participants are placed on mute and can participate in the Listen only mode.

Please note that during the course of the call, the presentation and information shared by the management may include forward looking statements. These statements are made on the basis of the company's current views and assumptions and are not guarantees of future performance and actual events or results may differ materially from those statements.

I now hand over the proceedings to Mr. L. V. Vaidyanathan.

Below Disclaimer was presented on screen:

This communication, except for the historical data, may contain forward-looking statements, including words, phrases, numbers that set forth anticipated results based on management's current plans and assumptions. Forward-looking statements are based on current expectations and assumptions, which are subject to risks and uncertainties that may cause results to differ materially from those expressed or implied in those statements. The Company cautions investors that any such forward-looking statements are not guarantees of future performance and that actual events or results may differ materially from those statements. Actual events or results may differ materially because of factors that affect international businesses and global economic conditions, as well as matters specific to the Company and the markets it serves. The Company undertakes no obligation to update these statements whether as a result of new information, future events or otherwise, except to the extent required by law.

■ Mr. L. V. Vaidya

nathan, Managing Director

Thank you all.

Good morning, everyone.

Thank you for joining us on the call today. It's our pleasure to interact with all of you today.

I will take you through the work that we have been leading at Gillette India Limited and what we have accomplished in the last fiscal year.

Over our 185 years globally, we have shown that our ability to grow is directly connected to our commitment to responsible business and doing good. Our ability to do good is in turn strengthened by our growth. Therefore, we aim to be a force for growth and a force for good in the communities that we serve, keeping our consumers at the core of it all.

We have been growing and creating value prior to, during, and following the pandemic through a strategy that drives growth and value creation through five integrated choices:

- 1) A portfolio of daily use products, where performance drives brand choice
- 2) Superiority across product, packaging, brand communication, retail execution and value
- 3) Productivity to fund this superiority
- 4) Constructive disruption of the entire value chain to future proof our business; and
- 5) A highly efficient and effective organization structure.

The model is dynamic and sustainable.

It adapts to the changing needs of the consumers, customers and society and is focused on growing markets - creating value versus taking business - the most sustainable and typically most profitable way to grow.

We believe that the best path forward is to double down on this integrated set of strategies that are driving our results.

Let me take this opportunity to talk more on the focus portfolio of daily use products of Gillette and Oral-B, both categories where performance plays a significant role in brand choice.

We concentrate our efforts and focus on delivering superior products with the best performance, in every price tier in which we compete in these categories.

We have continued to innovate to bring in a robust portfolio for our grooming category, delighting consumers with propositions from our global bouquet as well as designed-for-India-from-India. In our decades of serving the Indian consumers we have in return gained their trust, making Gillette a market leader.

Similarly, our Oral Care portfolio serves a diverse range of consumers and their unique needs, with an assortment of products - from sensitive to deep clean, special range for kids, to an advanced power oral care line-up.

Coming to Superiority, that is the formula to delight consumers and earn their chosen loyalty.

We know how to create value in these categories - by delivering irresistibly superior propositions to our consumers and retail partners across product performance, packaging, brand communication, retail execution and value. We continue to raise the bar on all aspects of superiority in all price tiers where we compete.

We are leveraging this superiority to grow markets and, as a result, P&G's share in these markets as a way to sustainably build the business.

Noticeable superiority is increasingly important in an inflationary environment as consumers reassess value across all elements of their budget.

We have been very intentional in building a strong presence across all relevant price tiers and retail channels, so consumers have a choice of different price points and value propositions within our

portfolio.

Let me translate our strategy of superior products for you, through an example of Gillette Guard. Guard is our most affordable system razor designed "in India for India", especially for rural consumers. It is designed keeping in mind the context that these households may not have access to running water and couple with their aspiration of confidence and dignity, we have continued to upgrade our product. Today, Guard serves millions of consumers in the country, including the rural population, regarding the highest ever share

in the rural market this year.

Taking the same example forward, I want to share the Guard commercial with you. Bringing the consumer inside of a clean but safe shaving experience to life, in a memorable way to truly resonate with our consumers.

Let's play the ad now. (Audio Visual playing)

Taking an example from Oral-B. With our Power oral care tooth brushes we have been able to provide our consumers with the most power packed brushing experience - a smarter way to brush that gives up to 100% more plaque removal*, whiter teeth, improved gum health and with 3D technology, visible pressure sensor and a 2-minute professional timer. But along with that, we are also educating our consumers on oral health practices.

Let me show you this with one of the recent ads. (Audio Visual playing)

We also continue to emphasize superior performance of our offerings through a strong value-based messaging in advertisement, on packaging and shelf - physical or virtual in terms of retail execution. Point of sale is an equally important touch point to engage and educate consumers, and by driving superior retail execution, we enter into intend to serve our consumers and customers.

Success in a highly competitive industry also requires agility that comes with a mindset of constructive disruption - a willingness to change, adapt and create new trends and technologies that will shape our industry for the future. It's a healthy dissatisfaction with the status-quo - and this mindset of constructive disruption is even more important in this challenging, ever-evolving macro-economic environment.

We are innovating how we innovate, moving faster by combining over 180 years of expertise with an entrepreneurial spirit of a startup.

100% of our brands are impacted by technology in some way or the other.

Be it mining for consumer insights and customizing our media outreach to reach consumers where they are, or enhancing our GoToMarket operations to create value for our partners, driving digital transformation within the organization for better productivity and expanding availability and service at stores using the power of AI and ML, tech is truly powering our engines.

*regular manual brushes vs. Oral B electric toothbrush

We have moved away from media planning in silos (TV, digital, ecommerce separately) to an Integrated Media Approach where an algorithm powered with the latest trends and historical data can bring up the best cross-screen media model that helps us achieve the maximum reach at the lowest cost.

We are also making headway with what we call SMART distribution. An in-house developed artificial intelligence and machine learning algorithm that analyzes consumer behavior and pattern to customize a range of P&G products at a store level. With this, we have transitioned from a cluster-based planning to a store/neighborhood-based planning. This win-win model is helpful for the consumer in making their desired products available and helpful for the store owners, helping them optimize inventory and significantly reducing non-moving stock. This is how we are improving how we serve our stakeholders.

The strategic need to keep investing in superiority, the short-term need to manage through a very challenging cost environment and the ongoing need to drive balanced top- and bottom-line growth, including margin expansion, underscore the importance of ongoing productivity.

We have developed a strong productivity muscle over the years. Productivity is now fully embedded in our operating model and is embraced in every part of our operation. Specifically, last year, through our productivity interventions, this company achieved savings of over Rs. 55 crores.

Our organization structure is designed to focus our human, technical and financial resources on our biggest opportunities for growth. The structure yields an empowered, agile and accountable

table

organization with very little overlap or redundancy - flowing to new demands, seamlessly supporting each other to deliver against our priorities in the communities.

One aspect of our empowered organization is the organization focus on Citizenship - our intent of also being a #ForceForGood.

We have embedded Citizenship in the way we do business every day and our efforts are based on Community Impact, Equality and Inclusion and Environmental Sustainability, with a strong foundation of Ethics & Corporate Responsibility guiding everything we do.

Through this, we aspire to positively impact our people, communities, partners and leverage the voice of our branch, to maximize impact.

The journey of enabling starts with our people at P&G. For us, every individual matters. We know

that one-size-fits-all approach will not work and does not work.

Therefore, we keep upgrading our bouquet of policies and programs to cater to our diverse workforce so that every single person can bring their whole authentic selves to work every day. For example, our Lead with Care program offers a holistic and support to employees who are caregivers to children with disabilities and special needs, including neurodevelopmental, cognitive, behavioral or physical impairments. The program includes medical coverage, specialized and trained day-care support via certified partners, and an employee assistant program (EAP) available 24 X7 to all employees and their families to navigate this journey.

Similarly, we continue to be committed to accelerating the pace of change outside of P&G, be it removing barriers to education and economic opportunities, or advancing inclusion of LGBTQ+ community, and many other initiatives.

You can learn more about them in our citizenship report in our live on our website.

Our longstanding commitment to education is also a way of contributing to the social development of the country brought to life via our flagship CSR program, P & G Shiksha.

P&G Shiksha is a holistic educational program that addresses critical barriers to achieving universal education. Over 18 years, Shiksha has helped reach thousands of schools in communities, impacting over 35 lakh children.

Environmental sustainability has been embedded into P&G's business practices and we consistently strive to minimize our environmental impact, encouraging consumers and suppliers to do the same.

- We have committed to accelerated efforts to combat climate change as part of ambition 2030.
- We have committed to be Net-Zero by 2040.
- Our global water strategy aims to restore water in water-stressed areas around the world.
- Today, we are collecting back more plastic packaging waste than we put out in India and leverage renewable energy in our operations.
- Our brands are incorporating sustainability in serving consumers with superior products, for instance, by leading the use of recycled plastic.

Many of these efforts, have been recognised widely by prestigious institutions, which only reaffirms our belief for being a #ForceForGrowth and a #ForceForGood.

With that, I hand over to our CFO, Gautam.

■ Mr. Gautam Kamath, Chief Financial Officer

Good morning, ladies and gentlemen. My name is Gautam Kamath and I'm the CFO of the Company.

LV spoke about our Integrated Growth Strategies and how they are making a difference to our business results. I will now share with you what exactly these business results have been in the past one year as well as over a longer period. I will also share with you our view on the long term outlook for the industry as a whole. Of course, many of you sent over questions, which I will address in the course of my session.

Our Integrated Growth Strategies are working. We have delivered yet another quarter and year of double-digit growth, in a year in which the industry faced several headwinds. The Apr/May/Jun quarter was our stro

ngest in the fiscal year 22/23, delivering 12% topline growth while growing profits even faster at 36%, driven by premiumization and pricing, and an overall cost-reduction program that drove savings.

For the fiscal year too, our sales grew 10%. We saw strong growth across both our portfolios, despite the challenging situation on category demand growth, as well as the massive commodity headwinds in the industry. The profit grew a strong 18%. We were able to offset the headwinds through a combination of prudent pricing combined with our productivity program, which as LV earlier mentioned, delivered Rs 55 Cr in savings for the year.

Before I address some of your questions, I want to talk about the external landscape and how we see it evolving.

FMCG consumption in the Apr/May/Jun Quarter was the fastest we have seen in the past 6 quarters.

Inflation is softening and volume growth is finally returning. The 7.5% volume growth in the quarter is great news for the industry and the economy in general because we know volume growth eventually unlocks capital investments and triggers a positive investment cycle. In another piece of good news, the rural growth is inflecting as well, with the quarter showing 1.4% volume growth in the non-food sector after four quarters of significant volume decline.

"Cautiously optimistic" is the term that best describes our outlook for market growth at the moment.

While we are seeing the consumption trends to be broadly up, driving our optimism, retail inflation for the months of July and August have averaged 7% and August rainfall has shown a 11% negative deviation from norm, driving the caution. On anecdotal evidence, September rainfall appears to have bounced back – and might have a big say in how the rest of the year goes.

Commodity prices however remain high, and we have not seen the cost pressures receding as expected. The bars you see on this chart represent the three commodities that we use the most in terms of value. You can see the price upcharge in the fiscal year 22/23 was even higher than the increase in fiscal year 21/22, and they are not showing signs of receding. This means bottom-line pressures will remain. Ofcourse this could differ based on the particular commodities that impact each industry.

I return now to more GIL statistics, and some long-term data.

Our Integrated Growth Strategies are working for us. We have delivered consistent mid single-digit

sales growth over the past 10 years, with the evolving definition of male grooming. At the same time, we have delivered a cumulative annual profit growth of 15%, while becoming more and more asset efficient. Our return on equity has improved 24% during this period. Our operating profit margin during this period has increased by 830 basis points.

Another way to look at these numbers is in absolute. Our absolute sales have grown 1.7 times over the past 10 years, while profits have more than quadrupled, demonstrating our ability to consistently deliver superior execution of our strategies.

We have also created significant shareholder value over this period. Our dividend per share over the past 10 years has increased by nearly 3 times, and our share prices have reflected the consistency of business result delivery.

Once again, our integrated growth strategies enable us to bring consumer centricity to life, and have been the guiding forces enabling these results. We are confident that these are the right strategies to navigate the near-term.

I'm now going to move to the Q&A session, and would like to thank you for sending your questions in advance.

I'm going to start with a question on our growth prospects now.

There were many of you asked us in different ways about this question.

Mr. Pankaj Gupta from Ratnabali Investment, asked this on what the growth prospects are.

Mr. Yogesh Patel from LIC mutual funds asked the same question Mr. Jayesh Shah from Ohm Portfolio

also asked about, you know, growth prospects in the medium and long term and Mr.

Pradumn Bajaj from Chryst Capital also asked, what's the outlook on our categories?

We expect volume consumption growth within the FMCG category to be in the mid-single digits over the next 5-7 years. There are however several categories where consumption is underdeveloped, whether we look at the potential to further improve and impact consumer lives, or if we compare to other countries with similar per capita income. We see an opportunity to grow these categories double-digit. To make this a reality, the role we see companies like P&G play is to continue to drive awareness and education, make our products available to consumers at varied price points and retail channels, and continue to delight them with superior propositions at the right value.

A few of you had questions on our appliances businesses.

Mr. Krishnan Sambamoorthy from Nirmal Bang asked what's the right to win in appliances given the distribution model is different.

Mr. Rajeev Sampat asked us for strategy for future growth with the onset of electric shavers.

Mr. Ravi Purohit from SIMP asked, what's arrangement on distribution of Braun products?

Mr. Pradumn Bajaj, Chryst Capital asked for thoughts on the broader portfolio.

Mr. Vicky Punjabi from UTI Mutual Funds has again how much impact from consumers shifting towards electronic razors.

Similarly, Ms. Harini Dedhia, Tamohara Investment Managers, asked again. How will we differentiate the brand storytelling between Braun and Gillette?

And again, Mr. Senthil Manikandan, I thought, also asked on strategy for electric electronic trimmers.

And finally, Mr. Roger Martin also asked, whether Braun and Braun products are part of the listed Company.

So let me let me answer all of these, but I mean, first start by categorically stating that yes, Braun is definitely part of this company.

At the moment, Appliances is a relatively small category and less than 2% of the category in value. While the consumer habit is evolving surely, the shift to electronic razors is also relatively small. But as many of you have rightly pointed out, this is likely to grow in the future, and we are learning early with the strength of our global might and a strong portfolio of offerings under Braun. Braun today has the world's best technology when it comes to Shaving and Trimming, and once again we will use our Integrated Growth Strategies to win with the consumer. Currently, based on the consumer habits and preferred platforms, we are making Braun range available primarily on ecommerce and digital platforms.

There was a question from Mr. Krishnan Sambamoorthy from Nirmal Bang on what is the royalty agreement with the parent?

The royalty agreement is towards the use of intellectual property of the parent that we use here in India.

There was a question on distribution.

Mr. Vishal Punmiya from Yes Securities asked us if you can comment on the current directory each and what it was five years back and what our distribution expansion plans are.

We have expanded direct reach by over 65% vs where it was 5 years ago.

What is also enabling us to better engage and serve our customers, and eventually consumers, is our progress on what we call Smart Distribution. We have developed an in-house data science engine powered with artificial intelligence (AI) and advanced machine-learning models (ML), which enables it to equip its diverse store network with a customized range of product offerings, based on the demonstrated preferences and needs of the consumers in the vicinity of these stores. The innovation

aims to help kirana store owners in efficiently optimizing their stock inventory, significantly reducing non-moving stock, and enhancing business operations by serving consumers better. The next question again, there were a lot of you who asked on this and this is on the bearding

trend.

Mr. Gokul Maheshwari from Awrig Capital, asked, consumer trends, show men today sport a stubble or a beard. How is the company planning to address this segment of the market?

Mr. Preeyam Tolia, from Axis Securities, asked if shaving culture coming back in trend.

Miss Priyanka Khandelwal, ICICI Prudential asked, "what is the company doing to capture the trend of beard grooming?"

Mr. Priyank Chheda of Vallum Capital, asked, "how Gillette has positioned itself to benefit out of this big trend shift?"

Mr. Vishal Gutka, Phillip Capital again asked a similar question.

The definition of Male Grooming has been evolving and changing, more rapidly now than before. What is important to note, is that in the recent past, there has been a trend not only towards men growing beards, but also towards men grooming their beards. The category is undergoing a transformation, and this presents an opportunity for us to play in premium systems and trimmers. Listening, addressing and catering to this, we have successfully evolved our propositions and communication to continue to delight consumers. The result? We are continuing to grow and drive category growth, recording our highest ever shares. On top, Our appliances portfolio as well as our highest end premium systems actually cater to the need of the beard trimming consumer. With our King C Gillette range of beard care products, we are also catering to the needs of beard care.

The next set of questions is on Oral -B:

Mr. Kahlil Randeria from Rulid asked what is the Oral -B growth for the next decade and a couple of you also asked a very similar questions

We expect Oral care as a category to demonstrate market growth of mid- single digits, in line with FMCG market growth. Our aim will be to drive category growth by bringing more consumers into the oral health care portfolio and strive to grow faster than category.

Another favorite area for a lot of you was female shaving products, Mr. Gokul Maheshwari from Awriga Capital asked if we can indicate the category, size and growth of the category in the last five years.

Mr. Vishal Gutka from Phillip Capital, asked what's the potential market size for female grooming segment?

Ms. Manasvi Shah from ICICI Prudential asked what's the work being done on women's and women's and value - added part of the portfolio?

Mr. Naveen Kulkarni from Axis securities, asked, "what's the strategy for expansion of women's growing grooming products?"

Female hair removal is actually a large market, but razors compete with creams, in-home waxes and salons. Our focus has been on the in-home hair removal segment. In the last 3 years, razors as a sub-segment have seen fastest growth.

Today, women are juggling multiple responsibilities at the same time, and considering the day is so jam-packed, they have no time for tasks like body hair removal the conventional way. Coupled with the on-the-move Gen-Z attitude, Venus has become her go to friend, which she can carry in her to-go pouches. Our strategy includes creating awareness about shaving for women, its benefits, busting myths and providing delightful experience to the consumer every single time.

Venus India has grown 10X in P10Y. Most recently, in our quest to provide the best possible shaving experience, we introduced Venus Swirl. This is a 5-bladed razor – 1st in the category with a rotating head that helps provide a clean, smooth shave.

There were a lot of questions on growth, especially in the mid to long term, Mr. Siddhanth Bhattacharya from Anvil asked what's the reason for low growth rate witnessed over the last seven years?

Mr. Rajeev Sampat from Otryx Fintrade asked the Reason for tepid growth in an otherwise buoyant economy up Mr. Vishal Gutka, Phillip capital, asked, "What are we doing to gain market share?"

Mr. Akshen Thakkar, from Fidelity asked, "What's your strategy to grow the market and your market share?"

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Just to, you know, to remind everybody Over the past three years, we have now consistently delivered double-digit topline and bottom-line growth. Our market share for Gillette is at the highest ever level, upwards of 60%. We will continue to remain focused on our Integrated Growth Strategies to continue to deliver strong growth in both the category as well as our market share. This means focusing on delighting and serving consumers, customers, society and shareowners through the five strategic and integrated choices: a portfolio of daily-use products in categories where performance drives brand choice; superiority across product, package, brand communication, retail execution and value; productivity in everything we do; constructive disruption across the value chain; and an agile, accountable and empowered organization. We are confident these are the right strategies to help us

navigate the times to come.

A lot of you asked questions on direct - to - consumer related questions, Ms. Manasvi Shah from ICICI Prudential branchial ask ed," what's the view on competition fro m D2C and other niche brands in in the space. "

Mr. Mudit Minocha , M3 Investment , asked , "What are we doing to defend and grow market share over D2C players? "

Mr. Jayesh Poladia asked about competitive scenarios.

Mr. Ritesh Poladia , Girik Capital asked about comments on D2C business and Mr . Ajay Thakur , Anand Rath Securities , also asked on how is delayed gearing to compete with new D2C competitors.

We believe the best way to win is to keep consumer at the centre – not competition. And the way to win with the consumer, is to deliver superior products at a price which delivers great value to the consumer. If we are able to consistently do that, we believe we would be able to not just win the love and loyalty of our consumers, but also grow the categ ory, and win against competition.

Having said that, we are raising the bar on our e- commerce and digital presence, working closely with our eCommerce retailers and some of you may even have noticed certain eCommerce vendors offering subscription deals on Gillette when you shop on these platforms.

There were a few questions on new categories, Mr . Mudit Minocha , M3 Investment asked if there are other product categories which the company aims to invest in.

Mr. Rohit Kadam , Entrust, asked if there plans to en ter in personal care categories.

Mr. Yogesh Patil from LIC asked if there are new product additions and distribution strategy.

While we can't talk about what is in the future, this year has been great in terms of our brands upgrading and introducing innovations across the portfolio. This includes Mach 3 Charcoal, Venus Swirl and Braun BT5 launches. On top, we witnessed the introdu ction of Oral -B SensitiveX – a premium sensitive toothbrush, and a relaunch of Gillette Fusion as a styling tool. We continued to upgrade our propositions, including Gillette Guard, Oral -B Criss Cross and Oral -B Kids electric toothbrushes.

There was a ques tion there were a couple of questions actually on A dvertising spends, Mr. Manish Bandari from Vallum Capital asked , "what's the long - term guidance on advertising and operating margins. "

Mr. Nikunj Gala from Sundaram AMC , asked what's the sustainable ad s pend management is comfortable with?

The ad spend is not determined by comfort, it is a function of the business need at hand and the right scale of consumer awareness needed to address it. Therefore, this could vary from year to year. The focus has always been, and remains, growing the category by delighting our consumers with superior propositions, and locating the relevant touchpoints to create awareness with the right consumer audience.

There were a few questions on margin as well.

Mr. Akshen Thakkar from Fidelity, asked, "what's your margin aspiration over the next three to five years?"

Ms. Fat ema Pacha from Mah indra Manulife asked,

"what is the steady state margin target?"

And then Mr . Rohit Seksaria from Sundaram Mutual funds asked , "with commodity price correction by when will we cross historically high? "

We will continue to drive both topline and bottom -line, as well as EBITDA margins. The exact band is difficult to predict but we aim to grow bottom- line ahead of topline in the fores eeable future. This will enable us to fund innovation, raise the bar on superiority, and absorb macro headwinds.

A couple of questions on manufacturing.

Mr. Kahlil Randeria, from Ruliad, asked focus on manufacturing for the men's grooming, given the larges t hairy population on the planet.

Mr. Paresh Sangani from Club Millionaire also asked , "what are the plans to locally manufactured premium and high end systems ?"

A substantial portion of our sales is locally manufactured, and we are always on the lookout to bring more parts of our business under local manufacturing. Given the immense scale of the capital investments required to manufacture the technologically advanced premium systems, that investment needs to be justified with sufficient scale and growth prospects. We will continue to look for such opportunities.

A few questions on premiumization.

Mr. Jayesh Poladia asked, "You know what's is India at the inflection point of premiumization?"

Mr. Prashant Kot hari, Pictet Asset Management , also asked how the premiumization of the portfolio has been so far and how should we expect it to go moving forward.

So Mr. Arnab Mitra from Goldman Sachs also asked , " how do you access the growth headroom in the shaving market? "

As per capita incomes rise in the na tion, discretionary spending rises accordingly, which is when consumers are able to pay higher for product superiority, a phenomenon we summarise as "premiumization" here in India. The premiumization trend has been positive for Gillette as well as

Oral B, as we have seen per capita incomes rise in the country and consumers willing to pay for superiority. This is reflected in the growth of our premium portfolio, like the Fusion portfolio (also catering to beard grooming as a consumer need), Gillette Venus and Oral B Power Oral care. There was a question on whether there are any strategic targets to increase contribution of non-shaving products.

This was from Mr. Nishad Karkare from Bay Capital.

We believe growth will come from both the shaving and non-shaving portfolio, and therefore there isn't a deliberate move to increase contribution of non-shaving products only. Even shaving has a large headspace for category growth in India. The focus is on serving the consumer needs and tap into them as they evolve, to be able to continuously and consistently delight our consumers.

Mr. Ketan Mehta from One Up Capital Ideas, asked about market share movement pre and post COVID, we have been consistently growing share for the past few years.

We have been consistently growing share for the past few years, but post COVID share growth has been faster, especially in the past 18 months. We have expanded our share leadership in the market and are today at record market share. What's great is that we are also driving category growth while doing this.

Ms. Geetika Gupta from ICICI Prudential asked, "how is P&G global looking at the Indian entity from a growth and profitability perspective. Is there any change in focus?"

P&G Global continues to see huge growth potential from the Indian subsidiaries. India is among top 10 markets for P&G globally. In fact, P&G Global COO has gone on record stating that he expects India to deliver consistent double-digit growth and become one of the top contributors of top-line and bottom-line for the company globally.

Few questions on merger, Mr. Ajay Garg from AM3 Ventures asked why do we have so many companies run by the same parent? Merging them may have several synergies and cost benefits. Few of you

had similar questions along the same lines.

While we can't comment on this price sensitive information, our current corporate structure in India is delivering strong results. We will continue to focus on creating value for all our stakeholders.

There was one of the questions on value on with the entry of competition and select prices much lower than ours. How do we see the growth of the company moving forward?

One of the vectors of superiority within our Integrated Growth Strategy is Value. There is a discernible shift in consumer behaviour – from price conscious to being truly VALUE conscious.. Consumers needs are becoming more aspirational as their access to information has increased. In this context, we believe continuing to deliver the best product that truly delivers against a consumer-meaningful job-to-be-done, made available at the right touchpoints and at the right price... is often appreciated by the consumer, especially in high involvement categories like ours.

There was a question from CNBC TV 18 asking with material costs on a declining trend.

"Do how do you see a recovery in gross margin and EBITDA margin and by when do you expect them to revert to earlier levels?"

As I mentioned earlier in my presentation, most of the commodities that impact us have not demonstrated a lasting downward trend. Given the volatility in the prices we expect the recovery (in any) to take longer than the immediate 9 to 12 months.

Further to the question on premiumization, Ms. Shilpa Ranipeta from CNBC TV 18 asked us, "what's the potential for premiumisation of oral care business where EBIT margins have also been better than grooming?"

There is definitely a lot of room for premiumisation within Oral care, whether it's the upgrading from mid-tier manual brushes to the premium-tier brushes, or the upgrade from manual brushes to electronic brushes, which do a much better job of cleaning. We have been definitely trying to grow the category at the top tier and electronic brushes with our communication campaigns and eCommerce partnerships and believe there is a lot of head space for premiumization in the category. For instance, looking at our Power Oral Care offering... you would have heard in LVs presentation. We provide our consumers with the most power packed brushing experience – a Smarter Way to Brush that gives upto 100% more plaque removal, whiter teeth, improved gum health with 3D technology, visible pressure sensor, and a 2-minute professional timer. The portfolio has found a loyal consumer base that continues to grow.

Mr. Ajay Garg from AM3 ventures, asked us what's the internal benchmark of growth?

We have a bouquet of benchmarks that we define for ourselves, including Top line and Bottom Line growth, Category Growth, Cost and Cash, Organization growth, with Ethics and Corporate Social Responsibility guiding everything we do.

Mr. Chanchal Khandelwal, Birla Mutual Fund asked us, "Will this be an annual update? This is a great initiative when we're looking forward to the same."

Thank you Chanchal. We hear you – and will assess accordingly.

Finally, we hope today's session was both informative and exciting for you.

We hope today's session was both informative and exciting for you. We have endeavored to respond to most of the questions that we received from you – either in the presentations or in the Q&A section

at the end. Some questions, while not called out, would have also been addressed as part of what you heard from us today.

Once again, we thank you for joining us on the call today. You may disconnect now. Have a great day!

Disclaimer: This transcript has been edited to remove any grammatical inaccuracies or inconsistencies of English language that might have occurred inadvertently while speaking.

Call: Sep 2024

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September 20 , 2024

To, To,
The Corporate Relations Department The Listing Department
The BSE Limited The National Stock Exchange of India Limited
Department of Corporate Services Exchange Plaza, Plot No. C/1, G Block,
Phiroze Jeejeebhoy Towers, Bandra Kurla Complex, Bandra (East),
Dalal Street, Mumbai – 400001 Mumbai – 400051
Ref:- Scrip Code: - 507815 Ref: - Scrip Code: - GILLETTE

Dear Sir / Madam,

Sub: Analysts/Institutional Investors – Outcome – Transcript of the meeting

This has reference to the intimation dated September 03, 2024 and outcome uploaded on September 18, 2024, with respect to the virtual connect with analysts/ institutional investors .

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, enclosed herewith is the transcript of the above meeting with analysts/ institutional investors , copy of the same is also made available on the website of the Company .

This is for your record and appropriate dissemination.

Thanking you.

Yours faithfully,

For Gillette India Limited

Flavia Machado
Company Secretary

Gillette India Limited

Investors & Analysts' Call

September 18, 2024

Start Time: 5:30 P.M.

Speakers:

Mr. V. Kumar, Managing Director

Mr. Gautam Kamath, Chief Financial Officer

Ms. Flavia Machado, Moderator, Investor Relations

Flavia Machado:

Good evening, everyone, and welcome to the Company's Investors and Analysts Call.

Thank you for joining us today. Today we will begin with presentation by the management of the company on the company's performance, results, strategies and business outlook.

We have received questions submitted by the participants at the time of registration of the call. The management will address the questions received after the presentation.

Let me introduce our presenters for today.

We have on the call, Mr. V. Kumar, Managing Director of the Company and Mr. Gautam Kamath, Chief Financial Officer.

All participants are placed on mute and can participate in the Listen only mode.

Please note that during the course of the call, the presentation and information shared by the management may include forward looking statements. This may include words, phrases, numbers that set forth anticipated results based on management's current plans and assumptions. Forward - looking statements are based on current expectations and assumptions, which are subject to risks and uncertainties that may cause results to differ materially from those expressed or implied in those statements. The Company cautions investors that any such forward- looking statements are not guarantees of future performance and that actual events or results may differ materially from those statements. Actual events or results may differ materially because of factors that affect international businesses and global economic conditions, as well as matters specific to the Company and the markets it serves. The Company undertakes no obligation to update these statements whether as a result of new information, future events or otherwise, except to the extent required by law.

With that, I now handover to V. Kumar, for the management presentation.

V. Kumar:

Good evening, everyone. Thank you for joining us on the call today. It is our pleasure to interact with all of you. Today, I shall take you through the work that we have been

leading at Gillette

India Limited, and what we have accomplished in the last fiscal year.

First things first, let me take you through our fiscal results for the year.

This was another strong performance by Gillette India, delivering a balanced top -line and bottom - line growth in the fiscal. Despite a challenging operating and competitive environment, the Company delivered sales of ₹2633 crore, up 6% versus year ago, Profit After Tax (PAT) for the fiscal year, was ₹412 crore, up 16% versus year ago due to the topline growth with product innovation.

These results have been possible as we have remained committed to our integrated growth strategy of:

- A portfolio of daily -use products, where performance drives brand choice,
- Superiority across product, package, brand communication, retail execution, and value
- Productivity to fund this superiority.
- Constructive disruption of the entire value chain to future proof our business,
- all enabled by an empowered, agile, and accountable organization.

These strategic choices reinforce and build on each other. When executed well, they grow markets and create new business which, in turn, grows our share, sales, household penetration and profit. Importantly, this strategy is inherently dynamic. It adapts to the changing needs of consumers, customers, and society. It demands that we not sit still.

P&G people are focused on executing each element of our integrated growth strategy with excellence, to delight consumers and win in the marketplace, to deliver the level of balanced growth and value -creation results you and we expect.

Let me take this opportunity to talk more on the focused portfolio of daily -use products for Grooming and Oral categories - both where performance plays a significant role in brand choice. We concentrate our efforts and focus on delivering and increasing the superiority of our offerings at every price tier in which we operate.

Throughout the fiscal year, the Company continued to delight the Indian consumers and drive category growth through a strong product portfolio, superior consumer communication and a continuous stream of product innovations. Our robust portfolio caters to a wide variety of jobs that our consumers expect grooming solutions to do, ranging from safe and efficient shaves, to styling and shaping tools and an assortment of dedicated ranges in shave preps as well as electronic grooming.

In our decades of serving the Indian consumers, we have in return gained their trust, making Gillette a market leader.

Similarly, our Oral Care portfolio serves a diverse range of consumers and their unique needs, with an assortment of products – from sensitive to deep -clean, special range for kids, to an advanced power -oral care line -up. We have continued to upgrade our propositions to keep delighting our consumers and meeting their evolving needs pertaining to their oral health.

Superiority continues to be the formula to delight consumers and earn and maintain their chosen loyalty.

Our commitment to and investment in irresistible superiority through innovation, across the 5 vectors of product, package, brand communication, retail execution and value, continues to be strong. We are leveraging the superiority to delight consumers, grow markets and our share in them.

Let's take an example on our Gillette portfolio. We introduced a super -premium razor – Gillette Labs, that transforms the mundane act of shaving into an extraordinary experience by offering a smooth and comfortable shave. With cutting -edge technology and a lifetime warranty on the handle, Gillette's latest razor delivers a superior shaving experience that combines close shaves with gentle exfoliation.

For over 115 years, Gillette has constantly challenged itself to advance shaving technology and provide consumers with the best shave they deserve, and this new launch is a step forward towards

this commitment while strengthening our portfolio and create value.

Coming to Female grooming, Venus introduced its Bikini Sensitive Razor, designed exclusively to cater to intimate grooming needs of consumers, based on a strong insight that existing products for intimate care result in irritation due to the hair texture being different. The razor is dermatologically tested, comes with a patented irritation- defence bar, and delivers a flawlessly smooth result without any discomfort in intimate areas.

Superior packing is a critical vector for us, enabling us to create the perfect First Moment of Truth with consumers to reinforce the delighters as they look at our product. Taking the example of the recently introduced Gillette Labs, the pack in one glance delivers the message on what the product does and its unique features. This helps our consumers make the right choice regarding the product that best serves their need.

Similarly, Oral- B introduced unique solutions to make brushing fun for its younger consumers by enhancing its toothbrushes with 'Chhota Bheem' designs – a popular animated character loved by children in India. The packaging brings this to life and enables parents to engage children in a very important activity of brushing, inculcating the right oral health habits at a young age.

Over the years, we have also evolved our communication strategy to better cater to the specific consumer we are reaching, and effectively resonate with them. In line with this, Gillette Guard developed an innovative communication approach to reach its target consumers in the Hindi heartland. Through deep consumer research the brand understood the nuance of simple, sharp, yet high -on-energy 'local' stories resonated better. Gillette Guard created unique TV copies featuring local celebrities and incorporating exciting music and dance routines, while delivering

the key message of a safe and smooth shave sharply.
Can we see the video please?

<Audio Visual playing>

There exists a common perception about all toothbrushes functioning the same way, leading to consumers being unaware about selecting the right solution. 49 % consumers are currently dissatisfied with the cleaning their brush provides. We recognize the need for innovation and education. Oral B's Criss Cross technology offers consumers a revolutionary choice for achieving better oral hygiene, so we had to create a compelling communication piece that can drive this awareness among our consumers. Let's watch the video to understand more.

<Audio Visual playing>

Our retail execution strategy focuses on maximizing category growth and value creation. It ensures that consumers have access to the products they want, when they want them. By optimizing store coverage, product assortment, pricing, and merchandising, we deliver a delightful shopping experience at the retail and grocery stores.

Success in our highly competitive industry also requires agility that comes with a mindset of constructive disruption – a willingness to change, adapt and create new trends and technologies that will shape P&G and our industry for the future. We are focused on leading disruption in a constructive way that delivers better outcomes and creates value for consumers, customers, employees, society, and shareowners.

Let me illustrate this using some recent examples:

1. We are leveraging seamless data, analytics, and automation to optimize our supply chain, resulting in 60% fewer touchpoints than a few years ago. We have also moved to an artificial intelligence, machine learning ordering system for our distributors, which is helping us better predict distributor shipments and replenishment. This is advancing us in our journey of Supply 3.0.

2. We are leveraging AI -powered image recognition to automated quality checks, streamlining production, and improving product quality. This innovative approach has enabled speed and effectiveness in our manufacturing processes, optimizing our operations and helping us ensure our products are manufactured and available for our consumers swiftly.

3. We have continued to explore relevant touchpoints where we can engage with our consumers when they are entering our categories, to educate them and make them aware of our propositions. Gillette has been organizing university programs to engage with adolescent and Gen- Z consumers. We have continued to evolve this program to share insights into overall grooming and personality development, across Gillette and Venus.

The strategic need to keep investing in superiority, coupled with the ongoing need to drive balanced top - and bottom -line growth, including margin expansion, underscore the importance of ongoing productivity.

We have developed a strong productivity muscle over the years. Productivity is now fully embedded in our operating model and is embraced in every part of our operation.

Specifically last year, through our productivity interventions, GIL achieved savings of over Rs. 45 crores. That is the fuel that allows us to reinvest in superiority across the five vectors and stay ahead of what consumers want.

Organization is an integral part of our Integrated Growth Strategy. After all, it is our people who deliver and execute these strategies. We have designed, and continue to refine and strengthen, our organization structure so that it enables P&G people to focus on our biggest opportunities for growth — fully empowered, agile, and accountable.

With the power of our organization, we have also continued our efforts to balance the need of all our stakeholders.

Equality and Inclusion is good for our business – broadening our ability to serve more consumers and driving market growth. Simply put, it helps us win in the marketplace.

It's how we understand and serve billions of increasingly diverse consumers around the world. It's how we develop market leading brands. It's how we recruit top -notch talent and develop the best organization in the world. It's how we lead our industries and strengthen our communities.

We bring our approach to life through our Brands, our employees, our partners, and communities.

We collaborate with partners to reach and serve more consumers and enrich the communities in which we live and work, which in turn helps create growth for our business. In India, we have joined hands with other highly engaged and effective organizations, like education institutions, to help achieve equal access and opportunities for everyone in the communities that we touch.

We continue to positively impact communities we serve and operate in, with our flagship CSR program - Shiksha. Over last 19 years, Shiksha has continued to support thousands of schools and communities, impacting more than 45 lakh children with access to education and enablers to improve learning outcomes.

Many of our efforts have been recognized externally which only motivates us to raise the bar and double down on our efforts to better all our stakeholders.

While we should expect the volatile macro dynamics we have been experiencing to continue, our job every day is to continue to put in the hard work that can delight consumers, customers, employees, society and shareowners in that context. Our best path forward remains to double down on our dynamic, market -constructive strategy to deliver balanced top - and bottom -line growth and value creation.

With that I handover to Gautam Kamath, our CFO.

Gautam Kamath:

Thank You, Kumar! Good afternoon, Ladies and Gentlemen. My name is Gautam Kamath and I'm the CFO, Gillette India Ltd.

Kumar spoke about our Integrated Growth Strategy and how it is making a difference to our business results. You also saw 6% sales and 16% structural profit growth delivered for the past year. At this point, I would like to reflect the results over a longer

period. I will also share with you our view on the recent trends and outlook for the industry. Of course, many of you sent over questions, which I will address during my section.

Our Integrated Growth Strategy is working for us. We have delivered consistent mid- single digit sales growth over the past 10 years, even with the evolving definition of male grooming. At the same time, we have delivered a cumulative annual profit growth of 23%, while becoming more and more asset efficient. Our return on equity has become 5x during this period. Our operating profit margin during this period has increased by 200 basis points, behind our strong productivity program across all spend buckets.

Another way to look at these numbers is in absolute. Our absolute sales have grown 1.5x over the past 10 years, while absolute profit have grown to 8x, demonstrating our ability to consistently deliver superior execution of our strategies.

This has resulted in us creating significant shareholder value over this period through a record 30 years of consistent dividend payout. Our share price has more than tripled, reflecting the consistency of business result delivery.

Before I address some of your questions, I want to talk about the external landscape and how we see it evolving.

The Indian economy is thriving – GDP growth is back to its peak at 8.2% for the year we just closed. With stable revenues from tax and increasing foreign exchange reserves, the financial outlook will continue to attract investments to the country. These are definite green shoots.

Closer home, for the FMCG industry, positive trends are finally emerging on consumption – both rural and urban. Inflation has been consistently softening with July closing below RBI's medium - term target of 4%. With monsoons across 75% of the countries districts normal or above normal, rural demand is expected to keep up with the positive trends. The watchouts are declining rural wages and rising unemployment, which should stabilise in near term with government's recently announced intervention. Collectively, this should augur well for consumption trends.

Looking at the near term, we anticipate some challenges to continue. However, we remain confident in the dynamic and integrated nature of our strategy to help us navigate the difficulties and continue to serve and delight consumers to drive sustained, balanced results.

I'm now going to move to the Q&A session. Thank you to everyone who took out the time to share the questions with us in advance.

We will take questions in groups, as there many common themes in the questions you have shared with us. Please note, we will refrain from sharing anything that is unpublished, price sensitive or confidential to protect the competitive advantage.

The first set of questions I would like to address, are on our Male Grooming Segment

Mr. Gokul Maheshwari from Awriga Capital has asked about Gillette's growth in the fiscal F23- 24 in Male Grooming market, as well as about Market Share. Mr. Mayur Parkeria from Wealth Managers (India) Pvt. Ltd. has sent a question on overall size of grooming market. Mr. Mehul Savla - Ripplewave Equity Advisors LLP's question is on signs of beard culture trend and its implication on the business. We have similar questions from Mr. Jayesh Poladia, Mr. Senthil Manikandan K - Ithought PMS, Mr. P riyaank Chheda - Vallum Capital, Mr. Vicky Punjabi - UTI Mutual Fund, Mr. Ranjeet Hingorani, and others.

- Over the past three years, the Company has consistently delivered a balanced topline and bottom -line growth, driven by product innovation. Along with this, the Company continued to lead the market share and market growth in in the Blades and Razors category in FY 23-24. The grooming category stands at approx. 3300 crores today, growing at mid -singles levels. There is increased competitive activity. We do believe tha

t healthy competition enables category growth, and we are all for it.

- Coming to some of the pertinent consumer trends. The definition of Male Grooming has been evolving and changing, more rapidly now than before. The trend is shifting towards more men now preferring to grow beards, which brings the new job to be done of groo ming, styling, and shaping the beards. For over 115 years, Gillette has constantly challenged itself to advance shaving technology and provide consumers with the best shave and grooming they deserve. With the category undergoing transformation, this presents an opportunity for us to position

our premium systems, appliances, and trimmers to delight consumers for this new set of jobs.

In fact, our Gillette fusion portfolio is redesigned as a beard styling tool, helping our consumers stay groomed as per their preference. This is enabled by FlexBall Technology that allows the razor to get virtually every hair - and can be used in various ways basis the consumer's styling

needs. We spoke of Gillette Labs that provides an extraordinary shaving experience combining close shaves with gentle exfoliation. With our MACH3 razor your tenth shave feels better than your first shave with a new disposable *

- Our focus therefore has been to offer consumers with products so good that they recognize the difference. We are continuing to grow and drive category growth, recording our highest ever shares.

Moving on, we had some questions on the landscape and growth in the female grooming segment.

Mr. Krishnan Sambamoorthy, Nirmal Bang Institutional Equities has asked about the proportion of female grooming to overall grooming sales in India, and whether the category is still growing faster than other options like waxes & lotions and salons. Mr. Ranjeet Hingorani has asked about the habits for shaving on the go for women. Ms. Jinal Sheth - Awriga Capital Advisors LL has asked about the growth in this category . Similar questions have been asked by Mr. Preeyam Tolia - Axis Securities', Mr. Mayur Matani - Maheshkumar and Co.

*First 2 Blades Vs Blue Presto Disposable

- Female hair removal is actually a large and diverse market, where razors compete with creams, in-home waxes and salons. Our focus has been on the in -home hair removal segment. In the last 3 -5 years, razors as a sub -segment have seen fastest growth.

- Today, women are juggling multiple responsibilities at the same time, and considering the day is so jam -packed, they have no time for tasks like body hair removal the conventional way. Coupled with the need for on -the-move solutions, Venus has become her g o to friend, which she can carry in her to -go pouches. Our strategy includes creating awareness about shaving for women, its benefits, busting myths and providing delightful experience to the consumer every single time with Venus as a preferred, hassle- free and pain -free solution of hair removal.

- We have continued to strengthen our portfolio, with products catering to diverse and evolving consumer needs. We spoke of the recently introduced Venus Bikini razor to cater to the unique need of intimate grooming with the benefit of 'Irritation free Smoot h Bikini Skin', communicated via relatable media channels like Social and Key Opinion Leaders. The product is specifically curated to give the consumer a superior experience for a unique job to be done. In fact, the entire Venus range is designed to glide smoothly on a women's curves to reveal super smooth skin without any pain and hassle. Our Comfort Glide range is also equipped with special soap bars to provide an incredibly smooth experience.

- With all of this, consumers are demonstrating their affinity and love for the Venus franchise. In the past 5 years, Venus has doubled its business and contributes double digit to the grooming segment for us. We are confident in our ability to continue

delighting consumers and growing the category.

We also have

asked a few questions on appliances.

Mr. Senthil Manikandan K - I thought PMS asked regarding Braun brand - what is the current share of sales and please share some insights how the company is planning to play in this category? Ms. Jinal Sheth from Awriga Capital Advisors LLP's questions is on trends in male shaving. We had similar questions from Mr. Ajay Thakur from Anand Rathi Institutional Equities, Mr. Ronak Chheda - Awriga Capital Advisors LLP, Ms. Fatema Pacha- Mahindra Manulife, Krishnan Sambamoorthy, Nirmal Bang Institutional Equities.

- Thank you for these questions. Currently, Appliances contribute to 2% of the category in India.

Our approach on the segment is to understand and meet the needs of the Indian consumers with our global insights and serve them with a strong portfolio of offerings under Braun. Braun

today has the world's best technology when it comes to Shaving and Trimming. Braun's focus has been superior Design & Craftsmanship, with the belief that a good design is simple, useful, and built to last. Based on the consumer habits and preferred platforms, we are making Braun range available primarily on e-commerce and digital platforms. We are leveraging social media to engage with our targeted audience and create awareness about our superior propositions – be

it for male grooming with the electronic shavers, stylers, and trimmers, or with the robust female grooming range that consists of varied products like epilators, facial hair removers, bikini stylers, etc. Overall, we are also bringing our Integrated Growth strategy to life to win with the consumer.

Many of you had questions on the performance and trends in the Oral Care category – these were from Mr. Sunny Bhadra from Nirmal Bang Institutional Equities, Mr. Niril Parekh - Awriga Capital Advisors LLP, Ms. Fatema Pacha- Mahindra Manulife, Mr. Mayur Parkeria- Wealth Managers (India) Pvt. Ltd., Mr. Navin Matta - Mahindra Manulife and others.

- Our growth has been slow in the Oral Care segment due to competitive activity in entry tier. Despite the challenges, we have been able to maintain our business size in the category. We expect Oral care as a category to demonstrate market growth of mid- single digits, in line with FMCG market growth.

- We remain focused on driving growth and serving consumers with superiority in segments where performance can drive brand choice, and we can empower consumers with the right brushing tools. For example: our Criss Cross sensitive range, with the revolutionary Criss cross technology and ultrathin bristles, promises a gentle but no-compromise cleaning. We are ensuring that we are communicating this superiority with the right consumer segments, to create the needed awareness – you saw a glimpse of this in the presentation as well. This segment for us is growing at a strong double-digit rate. Another segment doing very well for us, is Professional Oral Care portfolio – that I am about to talk next. In fact, Oral-B is world's no1 dentist recommended toothbrush brand.

- Let's also take an example of something as simple yet impactful as packaging. Our aim here is packaging that attracts consumers, conveys brand equity, and helps consumers select the best product for their needs. For oral care, we realised that consumers find it challenging to pick the right toothbrush for their needs, owing to the shelf clutter and complex packaging cues. To solve for this, we upgraded our packaging to drive the right cues, iconography, differentiators, and cleaning capabilities on our packaging, allowing consumers to easily identify the product that best suits their needs.

On another note, Mr. Ranjeet Hingorani has shared that he's a very happy & satisfied user of Oral B electric toothbrush and that it has reduced his dentist visits for cleaning. He has asked about our approach towards Electric toothbrush segment.

- Thank you for sharing your valuable feedback and

experience. We are happy that you have seen a significant difference in your Oral Health. This is congruent to the experience of our consumers as well, with our superior IO range of electrical toothbrushes. Within the segment, we have continued to strengthen our portfolio and introduce a holistic range, for adults and kids, enabling families with a smarter way to brush!

- The reason is that Oral-B iO power toothbrushes deliver superior cleaning and a delightful user experience. We have strengthened our portfolio to also include products at a lower starting price point. Powered with the insight that manual brushes leave 50% of plaque bacteria behind, but with its round head, Oral-B iO removes 100% more plaque in hard-to-reach places – we are communicating this to our consumers. Just like you, the portfolio has found a loyal consumer base that continues to grow, and this superior proposition is accelerating power brush trial,

thereby bringing new users into the category.

Moving on, Mr. Jayesh Poladia, Mr. Niril Parekh from Awriga Capital Advisors LLP, Mr. Vicky Punjabi - UTI Mutual Fund, Mr. Vishal Punmiya – YES Securities, have sent in some very interesting questions on the growth of Advertising Spends

- There are various factors that impact A&P spends. This spend is a function of the business need at hand and the right scale of consumer awareness needed to address it. It also considers innovation pipeline and the awareness support this may require. Therefore, this could vary from year to year. When we have a superior product that we have innovated and brought into the market, we intend to make as many right consumers as possible aware of that superior proposition – with the right combination of messages and touchpoints. This year, we had a brilliant lineup of innovation, including the ones we discussed like Gillette Labs, Venus Bikini Sensitive, etc. Long term equity building investments are foundational for superiority and trust that our brands have developed, and payout is seldom within a couple of quarters.
- The focus has always been, and remains, growing the category by delighting our consumers with superior propositions.

There were few questions from Mr. Mayur Parkeria from Wealth Managers (India) Pvt. Ltd and Fatema Pacha from Mahindra Manulife on the toothpaste segment.
- We would like to clarify, that we only operate in the Toothbrush segment within Oral Care in India.

We have a set of questions on a more detailed revenue mix, shares of sub segments, salience of different portfolios. These were from Mr. Sunny Bhadra from Nirmal Bang Institutional Equities, Mr. Priyank Chheda - Vallum Capital, Ms. Usha Mimani, Mr. Binay Shukla - Phillip Capital India and others.

- We won't be able to share these specifics, but what we can share is that our growth in Grooming has been broad based, as we have grown the category as well as strengthened our market leadership. Grooming segment accounts for 80% of the Company's business salience.

There was also an interest on understanding our future innovation pipeline, be it in premium/super premium segment or in Oral Health. These questions were from Ms. Vartika - Money Control, Mr. Mayur Parkeria - Wealth Managers (India) Pvt. Ltd, and others.

- Actually, this past year has been great in terms of our brands upgrading and introducing innovations across the portfolio. Throughout the fiscal year, the Company continued to delight the Indian consumers and drive category growth through a strong product portfolio, superior consumer communication and a continuous stream of product innovations. This includes the launch of Gillette Labs razors that elevate the shaving experience, seamlessly combining shaving and gentle exfoliation for an extraordinary experience, introduction of Venus Bikini Sensitive Razors designed for intimate grooming, dermatologically tested with patented irritation defense. In the Oral care segment, t

he Company introduced fun designs for young consumers with Oral -B 'Chhota Bheem' toothbrushes.

- This approach is integral to the success of our integrated growth strategy because it is inherently dynamic. It adapts to the changing needs of consumers, customers, and society. It demands that we not sit still. Superiority that delights our consumers is ever evolving. So, we remain focused on learning and executing what can drive irresistible superiority across each of our categories to attract users and help them more effectively tackle their jobs to be done.

Mr. Ajay Thakur - Anand Rathi Institutional Equities, Mr. Vishal Punmiya - YES Securities have sent questions on the margin outlook and profitability. We have also received similar questions from Mr. Mayur Matani - Maheshkumar and Company, Ms. Fatema Pacha- Mahindra Manulife and from Mr. Mehul Savla - Ripplewave Equity Advisors LLP – who has also additionally enquired about traded goods purchase.

- Our structural margins this year have actually improved significantly, to the tune of 200 bps, driven by our deliberate efforts on productivity across cost buckets, as well as innovation in the premium segments to enable consumers to trade up in line with their changing aspirations. We leveraged some short-term sales opportunities coming our way in context of the global geo-political scenario and its implication on our supply chain, and we continue to tap into such opportunities. We have already shared with you a long-term picture of our trends in the presentation.
- Overall, for us Productivity is more than cost cutting. It is a more efficient way of operating — in service to consumers and customers — every day. Like Kumar mentioned - We have developed a strong productivity muscle over the years. Productivity is now fully embedded in our operating model and is

embraced in every part of our operation. That is the fuel that allows us to reinvest in superiority across the five vectors and stay ahead of what consumers want.

There was a keen interest to understand about our distribution network. Mr. Yash Goenka & Mr. Ronak Chheda from Awriga Capital Advisors LLP, Mr. Binay Shukla - PhillipCapital India, Mr. Preeyam Tolia - Axis Securities and a few others have sent questions around this topic.

- We have been consistently and effectively growing our coverage. Over the span of last 3 years, our reach and coverage has grown over 1.5 times! Even in the grooming category, we have continued to grow our distribution footprint. We have continued to win in store, whether it is with the right content, assortment, ratings, reviews and search on the online channels, or the right store coverage, product forms, sizes, price points, shelving and merchandising in brick - and-mortar stores.

- However, what makes this even more impactful is how we are engaging the stores with the power of data and digital transformation. We developed an in-house Artificial intelligence & machine learning algorithm that analyses consumer behaviour patterns to customize a range of P&G products at a store level. With this, we have transitioned from a cluster-based planning to store/neighbourhood-based planning. This win-win model is helpful for the consumer in making their desired products available, and helpful for the storeowners helping them optimize inventory and significantly reducing non-moving stock. So, a win-win for all our stakeholders! In another example, we are also bringing our consumer-first approach to how our brands look online. With a thorough assessment of ratings and reviews on Gillette, we have revamped our brand content to better answer consumer queries and provide the information they seek when making purchase decisions. This has helped improve conversion significantly.

We have received a question on the reorganization of our businesses globally and India being among the first pilot markets – this is from Mr.

Vishal Punmiya, YES Securities.

- We have designed, and continue to refine and strengthen, P&G's organization structure so that it enables P&G people to focus on our biggest opportunities for growth — fully empowered, agile, and accountable. This is all in service of delighting consumers with superior propositions.

Ms. Vartika from Money Control has enquired about the growth in demand, sales, and volume expected during the festive season.

- As part of our strategic approach, we recognize the significance of growing consumption and creating value in various markets. The festive season aligns with a crucial buying period in the retail industry, and we have developed comprehensive plans to cater to both rural and urban markets through traditional retail, modern retail, and ecommerce channels, with strategic partnerships with our customers focused on joint value creation in the season.

Moving to the last question. Mr. Subham Sharma from Aditya Birla Sun Life AMC asked whether the company has taken any price increase in Gillette Guard portfolio.

- We are focused on providing consumers with superior performing products at a variety of price points, package sizes and retail channels that deliver great value. Consumers are more value conscious, than outlay conscious, where they are willing to pay for superior propositions. We introduced the upgraded Guard product with platinum coated razors, that provide a safer shave, at the price point of Rs. 12. Platinum provides consumers with more confidence on safe shaving versus stainless steel and can also provide up to 7 shaves per blade. Additionally, we have taken the new product to consumers with a series of superior, compelling advertising. As you saw in the presentation, we created unique TV copies for some of our geographies, featuring local celebrities and incorporating exciting music and dance routines, while delivering the key message of a safe and smooth shave sharply. This resulted in a communication which resonated significantly better with the audiences in the region, ultimately contributing to the growth of business.

With that, we come to a close on the Q&A section.

We hope today's session was both informative and exciting for you. We have endeavored to respond to most of the questions that we received from you – either in the presentations or in the Q&A section at the end. Some questions, while not called out, would have also been addressed as part of what you heard from us today.

Thank you to everyone for joining us today!

Disclaimer: This transcript has been edited to remove any grammatical inaccuracies or inconsistencies of English language that might have occurred inadvertently while speaking.

END OF TRANSCRIPT

Call: Jun 2025

Gillette India Limited
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June 12,2025

To, To,
The Corporate Relations Department The Listing Department
The BSE Limited The National Stock Exchange of India Limited
Department of Corporate Services Exchange Plaza, Plot No. C/1, G Block,
Phiroze Jeejeebhoy Towers, Bandra Kurla Complex, Bandra (East),
Dalal Street, Mumbai – 400001 Mumbai – 400051
Ref:- Scrip Code: - 507815 Ref: - Scrip Code: - GILLETTE
Dear Sir / Madam,

Sub: A nalysts/Institutional Investors – outcome –recording and transcript

This has reference to the virtual connect with analysts/ institutional investors held today,
Thursday , June 12,2025 at 3.30 p.m. (IST) .

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements)
Regulations, 2015, a link to the recording of the meeting is made available on the website of the
Company at : <https://in.pg.com/india-investors/gil/shareholder-information/info/#analyst-meet>

Further, transcript of the above meeting with analysts/ institutional investors is enclosed below ,
copy of the same is also made available on the website of the Company .
This is for your record and appropriate dissemination.

Thanking you.

Yours faithfully,
For Gillette India Limited

Flavia Machado
Company Secretary

Gillette India Limited
Investors & Analysts' Call
June 12, 2025
Start Time: 3:30 P.M.

Speakers:

Mr. V. Kumar, Managing Director
Ms. Srividya Srinivasan, Chief Financial Officer
Ms. Flavia Machado, Company Secretary

Flavia Machado:

Good afternoon, everyone, and welcome to Gillette India's Investors and Analysts Call.

Thank you for joining us today. Today we will begin with presentation by the management of the company on the company's performance, results, strategies and business outlook.

We have received questions submitted by the participants at the time of registration of the call. The management will address the questions received after the presentation.

Let me introduce our presenters for today.

We have on the call, Mr. V. Kumar, Managing Director of the Company and Ms. Vidya Srinivasan, Chief Financial Officer.

All participants are placed on mute and can participate in the Listen only mode.

Please note that during the course of the call, the presentation and information shared by the management may include forward looking statements. This may include words, phrases, numbers that set forth anticipated results based on management's current plans and assumptions. Forward-looking statements are based on current expectations and assumptions, which are subject to risks and uncertainties that may cause results to differ materially from those expressed or implied in those statements. The Company cautions investors that any such forward-looking statements are not guarantees of future performance and that actual events or results may differ materially from those statements. Actual events or results may differ materially because of factors that affect international businesses and global economic conditions, as well as matters specific to the Company and the markets it serves. The Company undertakes no obligation to update these statements whether as a result of new information, future events or otherwise, except to the extent required by law.

With that, I now handover to V Kumar, for the management presentation.

Mr. V. Kumar:

Good afternoon, everyone. Thank you for joining us on the call today. I

it is our pleasure to interact with all of you.

Today, I shall take you through the work that we have been leading at Gillette India Limited, and what we have accomplished in the last fiscal year.

First things first, let me take you through our fiscal results for the year.

Effective this year, the Company has changed its Financial Year from July 1 – June 30, to April 1 – March 31.

Accordingly, the current Financial Year of the Company ended on March 31, 2025, covering a period of 9 months from July 1, 2024, to March 31, 2025

Gillette India has continued to deliver a strong performance on both topline and bottom line, this year as well! Sales of Rs 2232 crore, up 12% versus the comparable period last year. Profit after tax for the fiscal was Rs 414 crore, up 40% versus the comparable period last year.

These results have been driven by the execution of our Integrated Growth Strategy.

Portfolio, superiority, productivity, constructive disruption, and an empowered, agile and accountable organization - all in service of our consumers, customers, employees, society, and our shareowners. These strategic choices reinforce and build on each other. When executed well, they grow markets – creating business – which, in turn, grows our share, sales, household penetration and profit.

Importantly, this strategy is inherently dynamic. It adapts to the changing needs of consumers, customers, and society. It demands that we not sit still.

Our people are focused on executing each element of our integrated growth strategy with excellence, to delight consumers and win in the marketplace, to deliver the level of balanced growth and value-creation results you and we expect.

Let me take this opportunity to talk more on the focused portfolio of daily-use products for Grooming and Oral categories - both where performance plays a significant role in brand choice. We concentrate our efforts and focus on delivering and increasing the superiority of our offerings at every price tier in which we operate.

Throughout the fiscal year, the Company consistently delighted Indian consumers and fuelled category growth through a robust product portfolio, effective consumer communication, and a steady stream of innovation. Our diverse range of offerings addresses various consumer needs, from traditional shaving, hassle-free solutions, comfortable shaving experience to the female grooming needs, ensuring we meet the unique requirements of every consumer.

In our decades of serving the Indian consumers, we have strengthened our market leadership, continuing to gain trust of our consumers.

Similarly, our Oral Care portfolio serves a diverse range of consumers and their unique needs, with an assortment of products – from gentle to deep clean, special range for kids, and an advanced power-oral care line-up. We have continued to upgrade our propositions to keep delighting our consumers and meeting their evolving needs pertaining to their oral health. We will see more on this later during the presentation.

Our next strategy element is our ongoing commitment to - and investment in - irresistible superiority. THIS is how we delight our consumers!

Our strategic choice of superiority is reflected through innovation across the five vectors of product, package, brand communication, retail execution and value – holistically defined. No one vector of superiority can carry the day by itself. It's all five working together.

Superior performing products in superior packages provide noticeably better benefits to consumers. They become aware of and learn about these products through superior brand communications. This comes to life in stores and online with superior retail execution and delivers superior consumer value at a price that is considered worth it across each price tier where we compete.

We look at superiority as a never-ending challenge and opportunity and we invest to raising the bar on our superior standards in response to consumer needs and changes in our industry.

Our innovation history is one of the stronger bundles in recent times. We remain invested in developing innovation in each of our categories, and across our portfolios, to attract new users and help them more effectively tackle current and new jobs to be done.

Superiority also demands investment in our capabilities in response to consumer needs and changes in our industry.

Let's look at what we are doing to build capabilities in the said vectors of superiority.

We upgraded and enhanced the much-loved Gillette Guard to offer a superior, cut-free shaving experience with a Chrome-Platinum coating to better protect against rust. As we took this proposition to market through the year, we successfully gained the trust of 5 million more consumers who now rely on Guard for their shaving needs!

Through in-depth consumer research, we uncovered a valuable insight: while many consumers were satisfied with their current razors and felt confident after shaving, they still experienced some discomfort during the process.

They expressed a desire for a shaving experience that was seamless and effortless. With this insight at core, we elevated our Mach 3 razors by integrating state-of-the-art technology, including three anti-friction blades and unique facial adaptive technology. This transformative shaving experience ensures that "Shave bhi ho jaye, aur pata bhi na chale."

We are committed to enhancing our consumers' experience while brushing and providing them optimum Oral Care. We know, that consumers who use Oral B power oral care products have a much superior experience.

To ensure more and more consumers can experience this, we launched the iO3 electric toothbrush - designed to provide a premium power oral care experience at an affordable price point, inviting many more consumers into the world of Oral B Power Oral Care.

Another new addition - the Vitality Pro Sensitive electric toothbrush allows even more consumers to enjoy the benefits of electric brushing by alleviating concerns that electric brushes may be harsh on sensitive teeth. Together, these innovations are raising the bar on superiority in our power oral care offerings!

Superior packaging is essential for us, as it creates the perfect First Moment of Truth with consumers, reinforcing the delightful experience as they encounter our products. With Gillette Venus, we have improved this moment for our consumers, with enhanced cues on the feature, benefit, ingredients, and usage recommendations – all enabling our consumers to quickly identify and choose the right products to meet their needs at a glance.

Our newly enhanced and redesigned premium 3D packaging for Gillette Fusion 5 effectively communicates the superior proposition of "Perfect Shave, Perfect Shape." We know consumers today have varied preferences, and a preference for tools that enable them to 'evolve' their look as and when needed!

The packaging now reflects this very consumer insight - serving as a comprehensive but a one-stop guide for consumers, showcasing the versatile ways to use the product!

Superior communication requires each of our brands to optimize:

- Reach: presenting our messages in the right forums at just the right frequency
- Effectiveness: delivering compelling messages that attract consumers to our brands, and
- Efficiency: ensuring we're executing our advertising plans at the best possible value.

Let me share a few examples of how we are illustrating the same across our brands.

Superior communication continues to be a key vector for us on a product like Gillette Venus. It is a critical avenue for us to reach our consumers and educate them on the smooth, painless, and hassle-free experience that Venus provides. We do this via relatable digital and social media-led communication, along with sharing relatable occasions where Venus comes in handy! Let's

have a look.

<audio-visual played>

Our innovation in the power oral care segment, including the iO3 and Vitality Pro ranges, are supported by dynamic go-to-market activations on e-commerce platforms and a compelling communication strategy. This approach ensures we connect with consumers where they are, delivering messages that truly resonate with them.

We know that seeing products like these in use help consumers decide on their preferences. What you see here is some of the social media content that our consumers see, which has proven to drive significant consideration!

Our focus on superiority extends to retail execution, where we are developing new tools and capabilities to win across all avenues, be it the physical shelf or the digital shelf.

Our retail execution strategy focuses on maximizing category growth and value creation. It ensures that consumers have access to the products they want, when they want them. By optimizing store coverage, product assortment, pricing, and merchandising, we deliver a delightful shopping experience at the retail and grocery stores.

On the digital shelf, we've developed proprietary tools to optimize content and search, so when shoppers pick up their phones and search for products, we are easy to find and an obvious choice.

Our teams ensure that we are able to reach our consumer at the right touch point, with the right set of information and assortment to meet their needs. Maintaining product availability and consistent messaging, along with positive user reviews, strengthens brand loyalty and ensures personalized access to products that meet consumer preferences across platforms.

Productivity, our third strategy element, gives us the fuel to invest in superiority, mitigate cost and currency headwinds and drive margin expansion.

We have developed a strong productivity muscle over the years. Productivity is fully embedded in our operating model and is embraced in every part of our operation. Specifically last year, through our productivity interventions, the company achieved savings of over Rs. 40 crores. That is the fuel that allows us to reinvest in superiority across

the five vectors and stay ahead of what consumers want. Along with that we accelerate productivity to capture the strong growth opportunities ahead of us.

Success in an industry like ours can be achieved if we embrace agility with a constructive disruption mindset. For us, it translates to a willingness to change, adapt and create new trends, technologies and capabilities that will shape the future of our industry. We are focused on leading disruption in a constructive way that delivers better outcomes and creates value for consumers, customers, employees, society, and shareowners.

Let me illustrate this with some interesting examples:

1. We leverage data across all channels to create a smart assortment that ensures the right portfolio of our products is readily available at the right stores. We leverage insights based on trends, neighbourhood analytics as well as consumer preference and purchase studies, to curate a delightful experience for the consumer, shopper and retailer alike!
2. With Supply 3.0 we continue to focus on the next phase of our supply chain optimization, seamlessly integrating the flow from suppliers to customers and extending all the way to retailers' shelves. By enabling advanced ordering, distributors can place their orders well in advance, providing our supply chain team with early visibility.
3. We are crafting a personalized and memorable shopping experience for our consumers on Quick Commerce platforms. This includes engaging with them during significant moments such as Father's Day, festivals, and other relevant occasions, while also seeking opportunities to connect with new audiences.

Organization is an integral part of our Integrated Growth Strategy. After all, it is our people who deliver and execute these strategies. We

have designed, and continue to refine and strengthen, P&G's organization structure so that it enables P&G people to focus on our biggest opportunities for growth — fully empowered, agile, and accountable.

This year, P&G Shiksha, our flagship CSR program, proudly celebrates a significant milestone—20 years of positively impacting over 50 lakh children. Initially focused on building educational infrastructure, the program has evolved to prioritize improving learning outcomes and closing the learning gap. To celebrate the 20th anniversary and the two-decade impact, we also introduced a very special collection of 20 remarkable stories of change and impact, called "Twenty Tales of Triumph".

Over the past three years, P&G Shiksha has focused on raising awareness about learning gaps—the difference between expected and actual learning levels. As per ASER 2024, over 50% children in grade 5, cannot read text of grade 2 level. Alarming, as per a third-party survey, only 28% of adults fully understand learning gaps, highlighting the urgent need to emphasize the right interventions that help children learn and thrive at their own pace, ultimately working toward erasing the learning gap.

When a child falls behind, they often get labelled! Let's watch this video where we delve deeper into this insight and the emotions a child goes through! Let's have a look to understand better.
<audio-visual played>

Many of our efforts, be it our brands, our community impact programs, our organization initiatives, and more - have been recognized externally at prestigious forums. This only motivates us to raise the bar and double down on our efforts to better serve all our stakeholders.

We believe that the best path forward remains to execute our dynamic, market-constructive – Integrated Growth Strategy for sustained excellence in service to all our stakeholders.

With that I handover to Vidya our CFO.

Ms. Srividya Srinivasan

Thank You, Kumar! Good afternoon, Ladies and Gentlemen. My name is Vidya Srinivasan and I'm the CFO, Gillette India Ltd.

Kumar spoke about our Integrated Growth Strategy and how it is making a difference to our business results. You also saw 12% sales and 40% profit growth delivered for the past year. At this point, I would like to reflect the results over a longer period. I will also share with you our view on the recent trends and outlook for the industry. Of course, many of you sent over questions, which I will address during my section.

Our Integrated Growth Strategy is continuing to work for us. We have delivered consistent mid-single digit sales growth over the past 10 years, even with the evolving definition of male grooming. At the same time, we have delivered a compounded annual profit growth of 19%, while becoming more and more asset efficient. Our return on equity has become 4x during this period. Our net profit margin in just the past year has increased by nearly 400 basis points, behind our strong productivity program across all spend buckets.

Another way to look at these numbers is in absolute. Our absolute sales have grown 1.5 times over the past 10 years, while absolute profit has grown 6 times, demonstrating our ability to consistently deliver superior execution of our strategies.

This has resulted in us creating significant shareholder value over this period, through a record of over 30 years of consistent dividend payout. Our share price has more than doubled, reflecting the consistency of business result

delivery.

Before I address some of your questions, I want to talk about the external landscape and how we see it evolving.

The Indian economy continues to grow stronger amidst all global peers, nonetheless, it is important to acknowledge the sharp slowdown vs. the past 3 years. At 6.5% estimated for the year, India will grow well within the past 10 years trend. We continue to hold a cautiously optimistic outlook for the

future. With steady government and private

investment and economic indicators of tax collections, foreign reserves continuing to be healthy, there surely are reasons to be optimistic. One must keep an eye on the evolving global trade policies, which can have an impact on inflation and demand.

Speaking of demand, within the FMCG industry, trends continue to evolve. While non-food inflation continues to stay below RBI's medium-term target of 4%, consumer consumption trends are still shifting. With healthier monsoons last year and rural wages picking up, rural demand is showing signs of healthy recovery. On the contrary, urban demand continues to be soft.

Looking at the near term, we anticipate some challenges to continue. However, we remain confident in the dynamic and integrated nature of our strategy to help us navigate the difficulties and continue to serve and delight consumers in every context, to drive sustained, balanced results.

I'm now going to move to the Q&A session. Thank you to everyone who took out the time to share the questions with us in advance.

We will take questions in groups, as there are many common themes in the questions you have shared with us. Please note, we will refrain from sharing anything that is unpublished price sensitive or confidential to protect the competitive advantage.

We anticipate you may have questions regarding the recent announcement by P&G globally. As you would have seen in the announcement, market-level plans are yet to be developed so we don't have any additional information to share at the moment.

With that, let's get started. The first note from our analysts is a positive one.

Ranjeet Hingorani has congratulated Kumar and the team on Gillette India's impressive performance!

- The diverse portfolio of shaving systems at varied price points has successfully navigated the shift from double-edged blades to entry-level products, paving the way for consumer transitions to more premium options.

- Thank you for your kind words! We are proud of the consistent and strong performance of Gillette India. Delivering superiority across our entire portfolio is essential for driving category growth, providing value to consumers and retailers, and creating value for our shareholders. Our strategy encompasses all price points, retail channels, and consumer segments.

- The successful introduction of affordable products like Gillette Guard has not only made quality shaving accessible but also paved the way for consumers to explore our premium systems. At the same time, we have a robust collection of propositions that enables the consumer of today to reflect their style – whether by

shaving or by shaping their beards to their preference. We remain committed to advancing shaving technology and continually providing the exceptional experience our consumers deserve.

Pavan Kumar from Ratna Traya Capital has asked us about the growth rate in the grooming segment. Mehul Savla from Ripple Wave has asked about the beard trends. We have similar questions from Sunny Bhadra and Krishnan Sambhamoorthy from Nirmal Bang Institutional Equities, Priyank Chheda from Vallum Capital, and Jayesh M Poladia.

- Over the last few years, the Company has consistently delivered a balanced topline and bottom-line growth, driven by product innovation. The brand Gillette has grown double digit as well, and continues to lead the market share in the Blades and Razors category, and in this year, we have strengthened our leadership!

- We know that consumer preferences are ever evolving – not just on a consolidated level but even on an individual consumer level. We are seeing the trend becoming more personalized - someone preferring a clean-shaven look today might want to sport a beard tomorrow, or the other way around. That's why, having tools in our portfolio that enable our consumers to swiftly transition from one to the next is important to many consumers of today.

Our male grooming portfolio is thoughtfully crafted to address these diverse needs of our consumers.

- Our premium systems, appliances, and trimmers delight consumers for this new set of jobs. Whether a consumer desires a full beard at one moment or a clean-shaven look or tapered style at another, Gillette Mach3 or Gillette Fusion provide the perfect tool, that enables both – a perfect shave, and a perfect shape!
- We spoke of Gillette Guard and the superior proposition it offers with a cut-free shaving experience with a

Chrome-Platinum coating to better protect against rust. As we took this proposition to market through the year, we successfully gained the trust of 5 million more consumers who now rely on Guard for their shaving needs! On the other hand, we elevated our Mach 3 razors by integrating state-of-the-art technology, including three anti-friction blades and unique facial adaptive technology.

Now going to the questions we have received on our oral care segment.

- Firstly, I would like to clarify, that we only operate in the Toothbrush segment within Oral Care in India.
- We remain focused on driving growth and serving consumers with superiority in segments where performance can drive brand choice, and we can empower consumers with the right brushing tools. We understand that there is a long runway to growth and our intent is to continue to explore ways to serve our unserved and underserved consumers. This ambition is supplemented by productivity efforts, and we have in fact improved our structural margins in Oral Care – providing us the fuel to invest in superiority.
- With this vision in line, we are committed to enhancing our consumers' experience by educating them on the benefits of Power Oral Care. We know that consumers who use Oral B power oral care products have a much superior experience. Thus to ensure that our consumers are able to experience the same, we launched the iO3 electric toothbrush - designed to provide a premium power oral care experience, and the Vitality Pro Sensitive electric toothbrush that allows even more consumers to enjoy trade up from a manual toothbrush to a power brush by removing the barrier of perceived complexity with a simple one-touch start and an accessible price point.
- Our innovations are supported by dynamic go-to-market activations on e-commerce platforms and a compelling communication strategy which ensures we connect with consumers where they are, delivering messages that truly resonate with them. You have already seen glimpses of this in Kumar's presentation earlier! To top it off, we have doubled the business for Oral B Power Oral Care in the last 3 years! Rajakumar V has sent in a question on the competition in India for our products and Omkar Shintre from PGIM India Mutual Fund has asked about the sustainability of the growth rate. Nitin Gupta from Emkay and Navin Mimani have asked about the growth outlook for next year in the grooming segment.

- Our endeavor to grow the category and grow at a rate ahead of the industry average. More importantly, our endeavor is to grow in a manner that is consistent, sustained and rooted in better consumer understanding that paves the way for serving them with better propositions that delight them. And, to do that, we believe that the best path forward remains to execute our dynamic, market-constructive – Integrated Growth Strategy for sustained excellence.

Subham Sharma from Aditya Birla Sunlife, Senthil Manikandan from iThought PM and Rajakumar V have sent in questions around the growth of Grooming segment – about how company is able to report growth compared to struggling peers and about drivers of growth. Subham Sharma from Aditya Birla Sunlife and Nikhil from Arisaig partners asked some specific questions around the consumer pricing across the portfolio. Omkar Shinde from PGIM MF, Shayan Das Sharma from Bajaj Finance, Vishal Punmiya, Sagir Khericha from Chartered Capi

tal Invst limited and Shilpa Ranipeta from Network 18 – all had questions around the improvement in gross margin and whether this is sustainable, and the productivity interventions undertaken. Some of them have specifically asked questions on manufacturing footprint and guidance on margins and growth.

- Yes, at 12% sales growth, our grooming business has delivered industry leading results, and we truly believe that this is our dynamic integrated growth strategy firing on all cylinders – a focused portfolio with irresistible superiority, productivity, constructive disruption, and an agile and accountable organization – all towards value creation.
- Responding to the question on pricing, we are focused on providing consumers with superior performing products at a variety of price points, package sizes and retail channels that deliver great value. We have learned over the past many innovation cycles, that consumers are more value conscious, than outlay conscious, where they are willing to pay for superior propositions.
- And now, on gross margin drivers and productivity – this year we improved structural margins by about 300bps driven by our deliberate efforts on productivity across cost buckets, as well as innovation in the premium segments to enable consumers to trade up in line with their changing aspirations. While I cannot comment on the future, what I can say with certainty is that for us, productivity is more than cost cutting. It is a more efficient way of operating — in service to consumers and customers — every day. This even includes constantly assessing our supply chain mix (Locally manufactured vs. import). Like Kumar mentioned - We have developed a strong productivity muscle over the years. Productivity is fully embedded in our operating model and is embraced in every part of our operation. That is the fuel that allows us to reinvest in superiority across the five vectors and stay ahead of what consumers want.

Akash Shah has asked a question on the level of advertisement spend and EBITDA margin to expect going

forward.

- There are various factors that impact A&P spends. This spend is a function of the business need at hand and the right scale of consumer awareness needed to address it. It also considers innovation pipeline and the awareness support this may require. Therefore, this could vary from year to year. When we have a superior product that we have innovated and brought into the market, we intend to make as many right consumers as possible aware of that superior proposition – with the right combination of messages and touchpoints. This year, we had a brilliant lineup of innovation across the portfolio, especially in Guard and Venus, and Oral B Power Oral Care. The focus has always been, and remains, growing the category by delighting our consumers with superior propositions.

Navin Mimani, Senthil Manikandan K from Ithought PMS, Meenakshi V from the Hindu Business Line have sent questions on the retail landscape including modern trade, general trade, quick commerce, and e-commerce, the need to adapt product offerings to changing consumer demands. We have similar questions from Sunny Bhadra from Nirmal Bang Institutional Equities, and Ajay Thakur from Anand Rathi Securities.

- E-commerce today is no longer just an urban phenomenon. Even the quick commerce segment today is not an add-on option but an integral part of the shopper habit. Thus, we continue to co-create with our partners to ensure we are able to offer superior propositions to our consumers at the right place and at a right time. In fact, we have expanded our coverage by a million stores in the last 3 years.
- Along with our reach what is equally important is how we reach and engage our customers. Supply chain is critical to deliver superior quality products with superior execution to our retailers, while also being one of

our biggest sources of productivity. Our Supply Chain 3.0 efforts are

focused on extending supply excellence

from our suppliers to our customers all the way to retail shelves.

- We are continuously innovating tools and strategies for both physical and digital shelves. To deliver superior retail execution, we are combining a wealth of point-of-sale data with retail shelf images to recommend optimized shelf design for retailers. By optimizing store coverage, product assortment, pricing, and merchandising, we ensure consumers have access to the products they want when they need them, delivering a delightful shopping experience.

- As you must have witnessed earlier during the presentation, we are investing in advanced supply planning technologies to better anticipate consumer demand and adjust production and inventory levels, accordingly, helping minimize stockouts, overproduction and waste. These collaboration across retailers and suppliers through these unified digital platforms, facilitating real-time information sharing and decision making, driving shelf availability, but just as important, building trust and enabling joint value creation for future years.

- On the digital front, our proprietary tools enhance content and search optimization, making our products easily discoverable. We focus on reaching consumers at key touchpoints with relevant information and maintain product availability, reinforcing brand trust through user reviews for consistent access across platforms.

We also have a few questions on innovations that we are working on across the grooming and oral care segment. Saurabh Ved, Anantya Capital, Nikhil Kapoor from LIC Mutual Fund, Ajay Thakur from Anand Rathi Securities, and Ranjeet Hingorani have sent these questions.

- While we cannot comment on the innovation that is to come, you saw in the presentation by Kumar that our innovation bundle over the last few quarters is one of the most robust we have seen in the recent years. We remain invested in developing innovation in each of our categories to attract new users and help them more effectively tackle current and new jobs to be done.

- More importantly, we believe that no one vector of superiority can carry the day by itself, only when all 5 vectors of superiority work together does the consumer offer us with their choice and loyalty. Superior across all vectors provides noticeably better benefits to consumers. They become aware of and learn about these products through superior brand communication.

- Thus, we ensure we are present at all relevant platforms be it sports, social media, or traditional media, wherever our consumers are present.

- This comes to life in stores and online with superior retail execution and deliver superior consumer value at a price that is considered worth it across each price tier in which we choose to compete. We are committed to ensuring our products are available wherever our consumers shop—be it a kirana store, supermarket, e-commerce platform, or quick commerce service. If digital media and commerce serve our consumers' needs, you can count on us to be there, providing seamless access to our offerings.

- Delivering superiority across every part of our portfolio is the path to growing categories, providing value to consumers and retailers, and creating value for shareowners.

With that, we come to a close on the Q&A section.

We hope today's session was both informative and exciting for you. We have endeavored to respond to most of the questions that we received from you – either in the presentations or in the Q&A section at the end. Some questions, while not called out, would have also been addressed as part of what you heard from us today. Thank you to

everyone for joining us today!

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END OF TRANSCRIPT